

Asian Industrial Technology

SMC Corporation

Rating

Outperform

Price Target

📈 **6273.JP**

89,000 JPY (78,000 OLD)



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SMC: This is how an upcycle should look like

SMC's 1Q FY3/27 results exceeded expectation on revenue and margins (Exhibit 1). Among the FA names, SMC has one of the highest exposures (26%) to semiconductors (Exhibit 6), which contributed to the broad-based strength. The margin beat was driven primarily by operating leverage, naturally resulting from topline growth and inventory normalization (Exhibit 17), which was further lifted by FX tailwind (Exhibit 5). Management is clearly upbeat about the outlook and sees sustained strength in demand. We expect the currently conservative FY guidance to be raised after next quarter.

By industry, in addition to the exceptional growth in semiconductors, other verticals, including automotive, also progressed inline with the global FA upcycle (Exhibit 12, Exhibit 13). All regions accelerated (Exhibit 9). Globally, SMC is seeing a favorable competitive trend, as its major competitor, Germany-based Festo (private), is facing operational issues. In China, since 4Q2024, SMC has been growing at the same pace as AirTAC, indicating no share loss (Exhibit 4). In the latest quarter, SMC's 30% exposure to semi in China allowed its growth to outpace AirTAC.

OPM was 27.3% this quarter. Adjusted for FX, it would be 25.3%. With the increase in sales staff and in depreciation expenses, we do not forecast SMC's margins to return to historical levels. However, in the upcycle, operating leverage should bring OPM to the 24-25% level this and next fiscal years. This is meaningfully higher than FY3/26 (22.6%) and consensus estimates (Exhibit 2). After a 29% share price rally YTD, we see an additional 20% upside. Upgrade of consensus estimates and management guidance is the potential catalyst.

Investment Implications

Reiterate OP. We raise PT to JPY 89,000 (was JPY 78,000) by applying a 14.0 EV/EBITDA multiple to 1-yr fwd EBITDA est. of JPY 339.1bn (was 13.2x to JPY 312.3bn), and rolled PT date to June 2027.

Reported EPS	F26A	F27E	F28E	Financials	F26A	F27E	F28E	CAGR	Valuation Metrics	F26A	F27E	F28E
6273.JP (JPY)	2,640.86	3,671.13	3,655.58	Revenues (M)	842,541	1,067*	1,146*	16.6%	Reported P/E (x)	28.1	20.2	20.3
OLD	--	2,975.39	3,256.00	EBITDA (M)	261,880	350,282	362,656	--	Div Yield (%)	1.3	1.3	1.5
				Gross Margin (%)	45.3	45.8	45.5	--	EV/EBITDA (x)	15.4	11.5	11.2
				Operating Margin (%)	22.6	25.2	24.4	--	P/B (x)	2.6	2.4	2.2
				Net Income Margin (%)	19.9	21.7	20.1	--				
				ROE (%)	9.5	12.3	11.3	--				
				ROIC (%)	9.8	12.1	11.4	--				

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	7 Aug 2026
6273.JP Close Price (JPY)	74,190
Price Target (JPY)	89,000
Upside/(Downside)	20%
52-Week Range	86,800/43,060
JPL	2,643.59
FYE	Mar
Div Yield	1.3%
Market Cap (JPY) (B)	4,738.47
EV (JPY) (B)	4,045.75
Performance	YTD 1M 6M 12M
Absolute (%)	36.2 2.3 14.6 43.5
JPL (%)	19.8 0.1 6.0 36.7
Relative (%)	16.4 2.1 8.7 6.7
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR

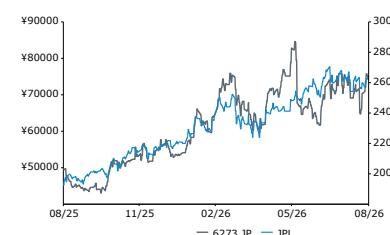
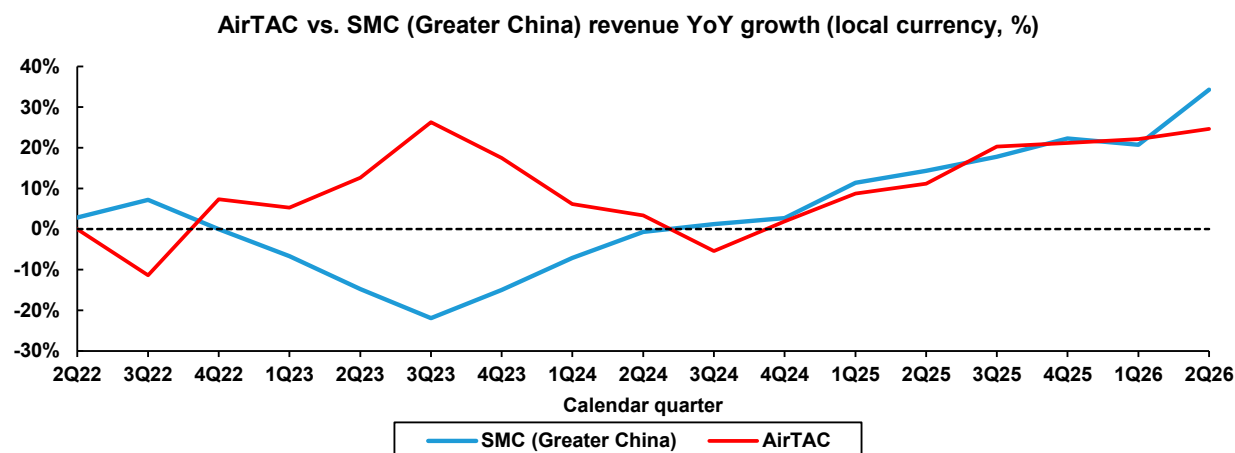
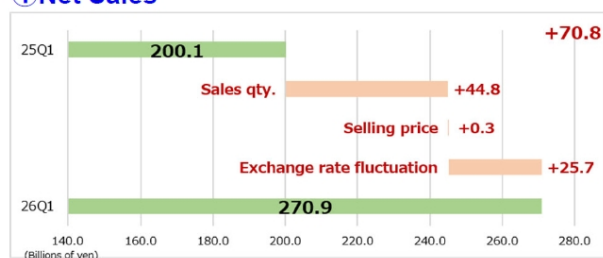




EXHIBIT 4: **AirTAC vs. SMC (Greater China) revenue YoY growth comparison**

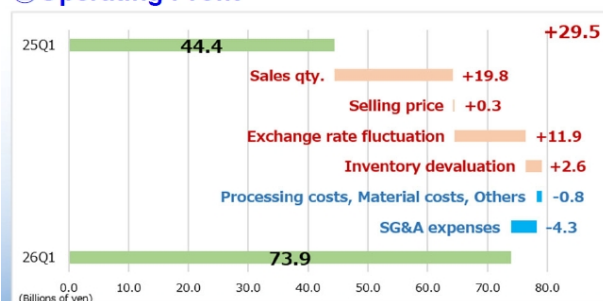
Source: AirTAC, SMC, Bernstein analysis

EXHIBIT 5: **Revenue and operating profit YoY change breakdown****[YoY] Factors of Change of Net Sales and Operating Profit****① Net Sales**

< Sales qty. > **22.3% Increase**
 Japan +7.2 (+19%), North America +1.3 (+5%), Europe +2.3 (+7%), Greater China +22.6 (+37%), Other Asia +10.8 (+35%)

< Selling price > **0.1% Increase**
 Japan +1.2, Overseas -0.9

< Exchange rate fluctuation > **12.9% Increase**
 North America (mainly USD) +3.3
 Europe (mainly EUR) +4.9
 Greater China (mainly CNY) +13.3

② Operating Profit

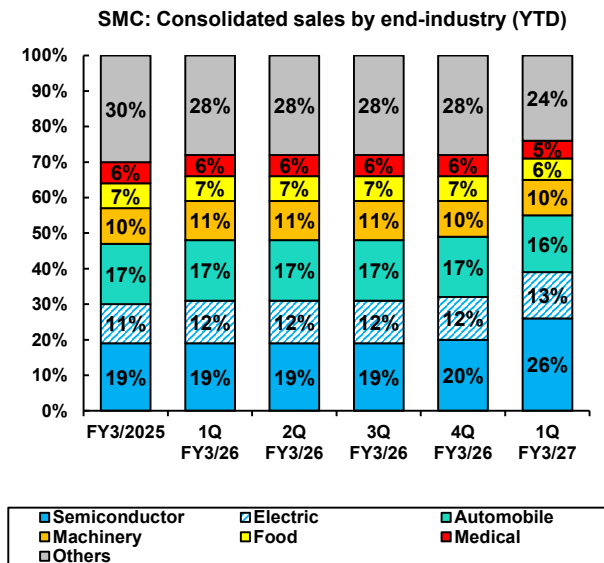
< Exchange rate fluctuation >
 From transaction (Foreign currency export & import) +7.9
 From conversion (Overseas subs P&L conversion) +4.0

< Inventory devaluation >
 25/1Q Devaluation -2.2 → 26/1Q Devaluation +0.4 = Change +2.6

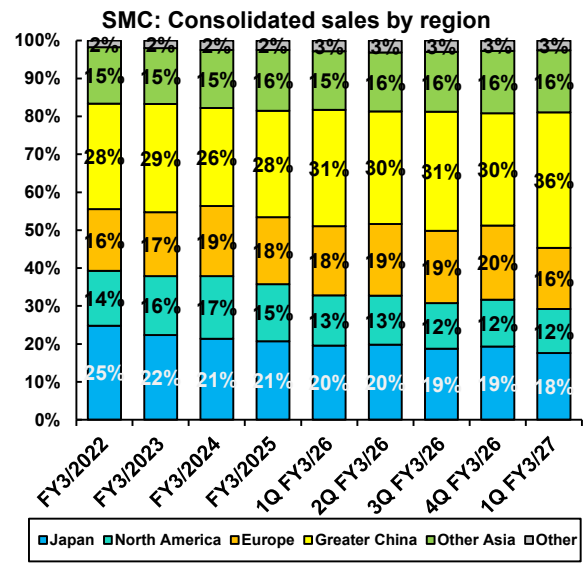
< Processing costs, Material costs, Others >
 Processing costs increased
 Costs decreased as a result of a portion of the U.S. tariff refund being allocated as a reduction to cost.

< SG&A expenses >
 Personnel -1.0, Freight expenses -1.0, R&D -0.7

Source: SMC

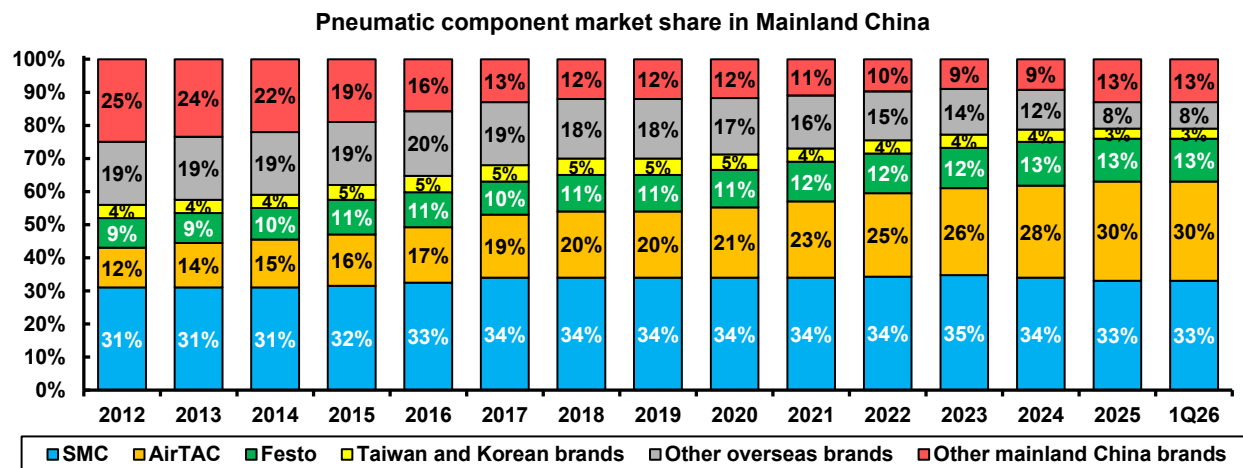
EXHIBIT 6: **SMC sales by end-industry (YTD)**

Source: SMC, Bernstein analysis

EXHIBIT 7: **SMC sales by region**

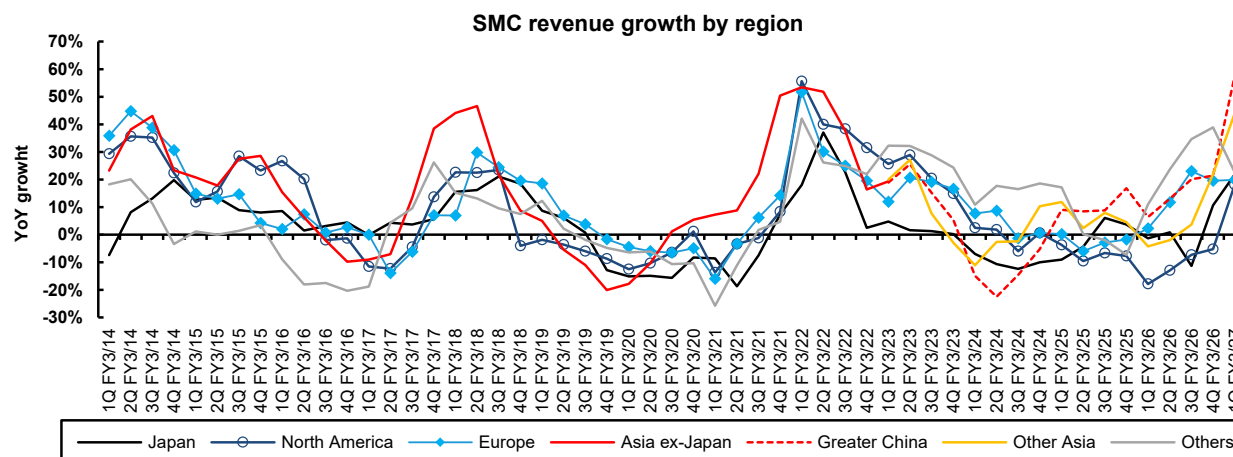
Note: We used the sales by region by group company location reported by SMC as the proxy of sales by region

Source: SMC, Bernstein analysis

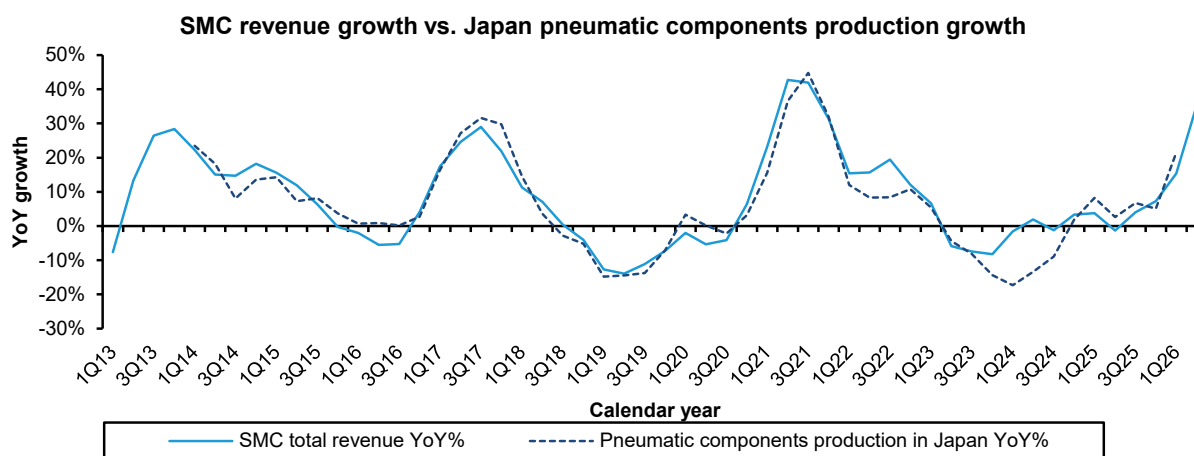
EXHIBIT 8: **Similar to the global market, the Chinese market also demonstrates “winners take more” and gradually concentrated.**

Note: We use the average number as the annual market share number.

Source: AirTAC, Bernstein analysis

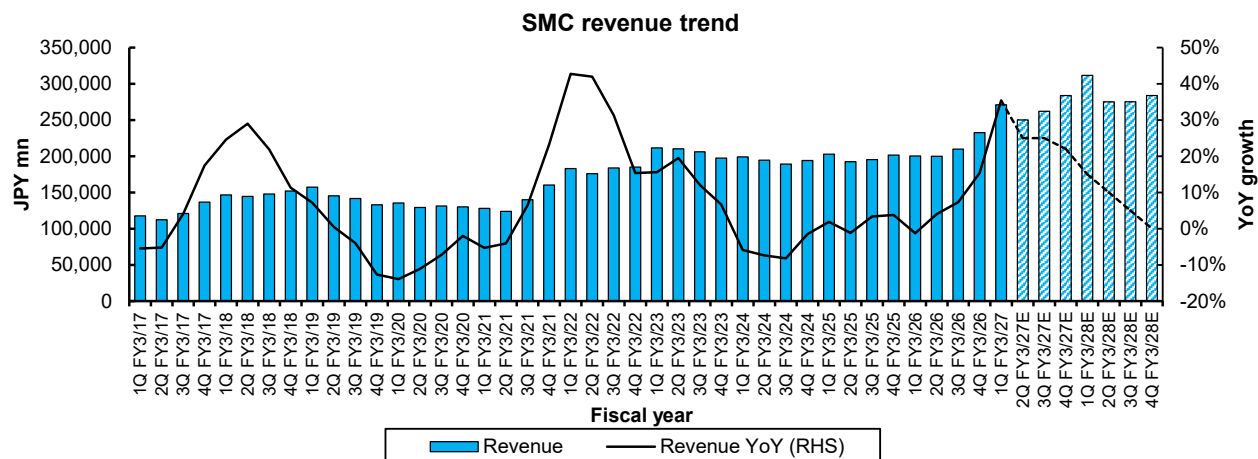
EXHIBIT 9: **SMC's revenue growth by region**

Source: SMC, Bernstein estimates and analysis

EXHIBIT 10: **SMC revenue follows Japan pneumatic components production and Japan machine tool order**

SMC, METI, Bernstein analysis

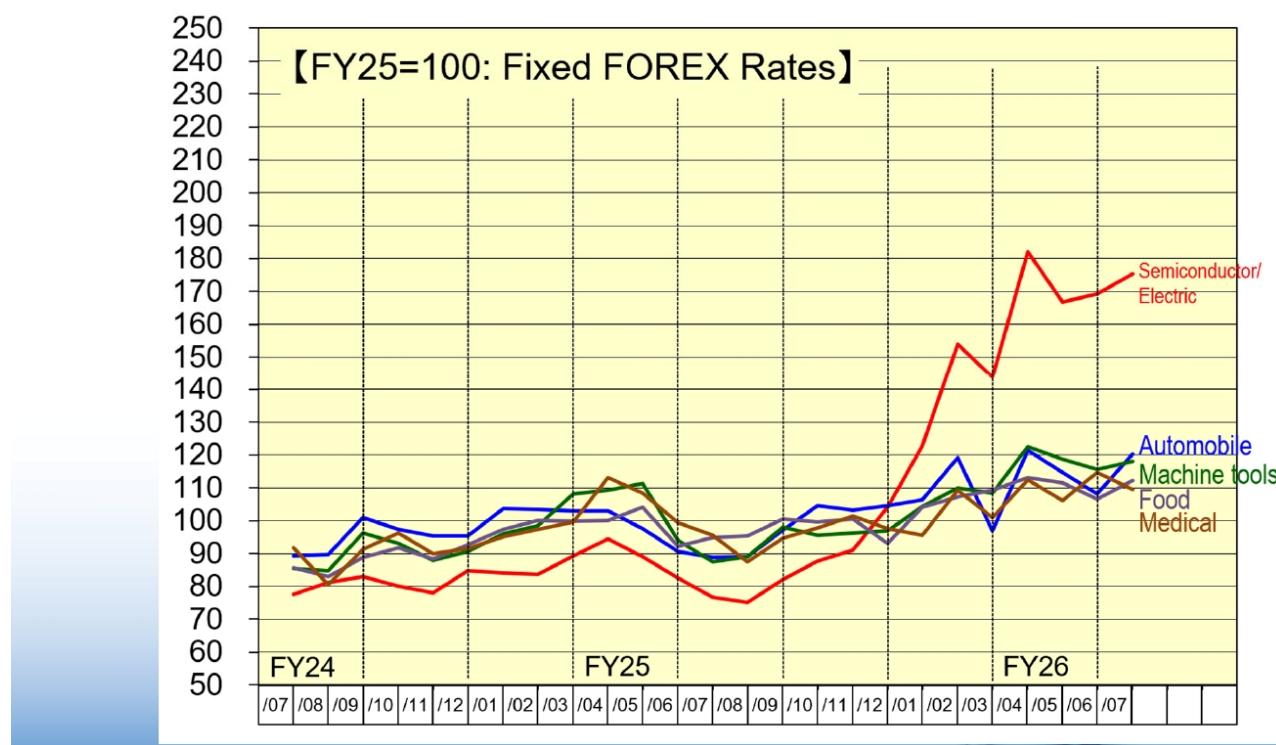
Source: SMC, METI, Bernstein analysis

EXHIBIT 11: **SMC's revenue trend**

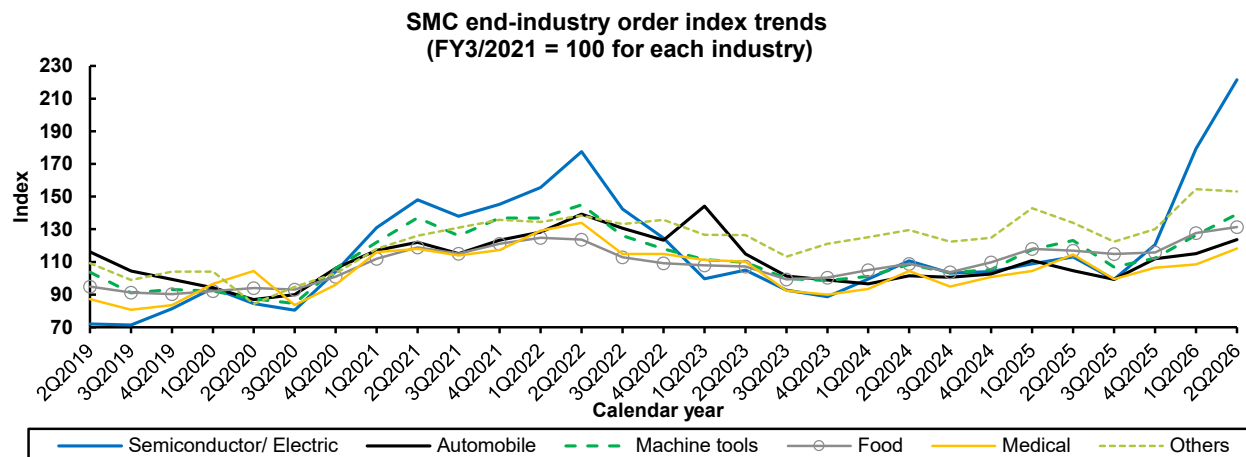
Source: SMC, Bernstein estimates and analysis

EXHIBIT 12: **Consolidated orders trend by industry (monthly trend)**

Consolidated Orders Trend by Industry



Source: SMC

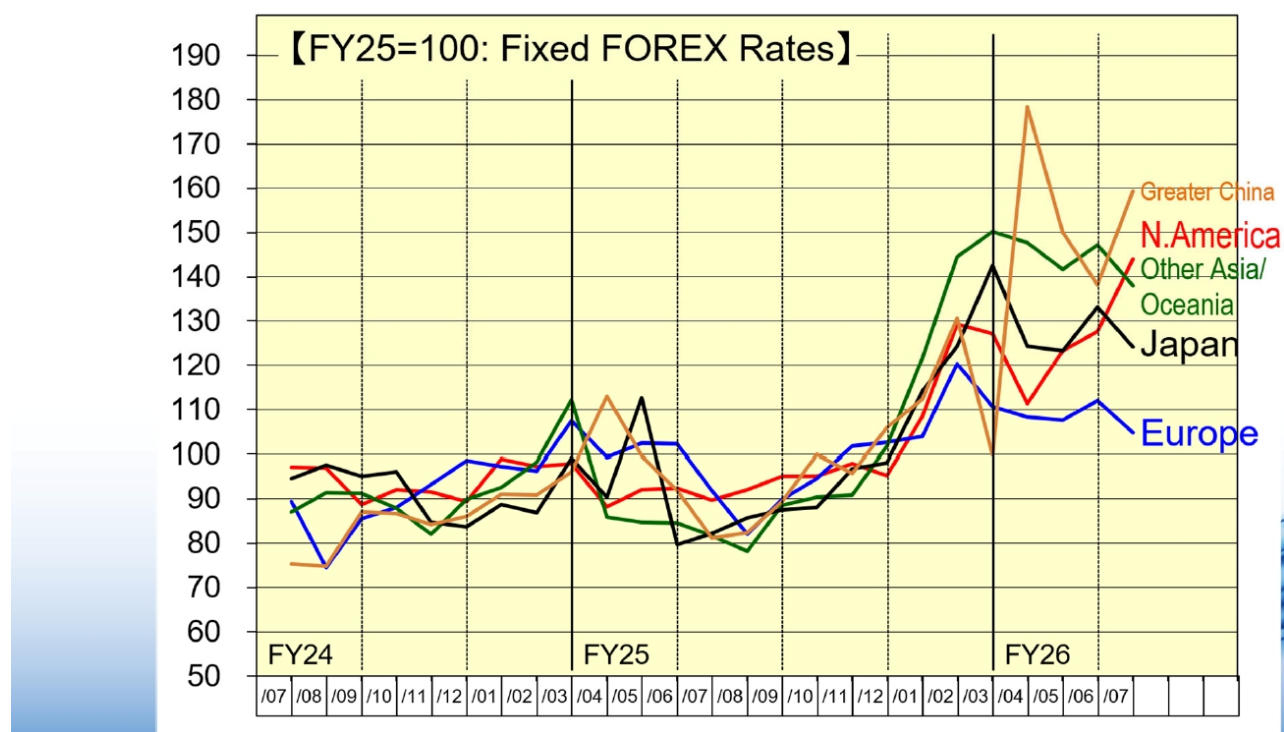
EXHIBIT 13: **SMC: end-industry order index trend**

Note: EV battery among rechargeable batteries in China have been reclassified from electrical machinery to automobile as of Jan 2023. SMC rename "Electrical machinery" 1QFY3/2025.

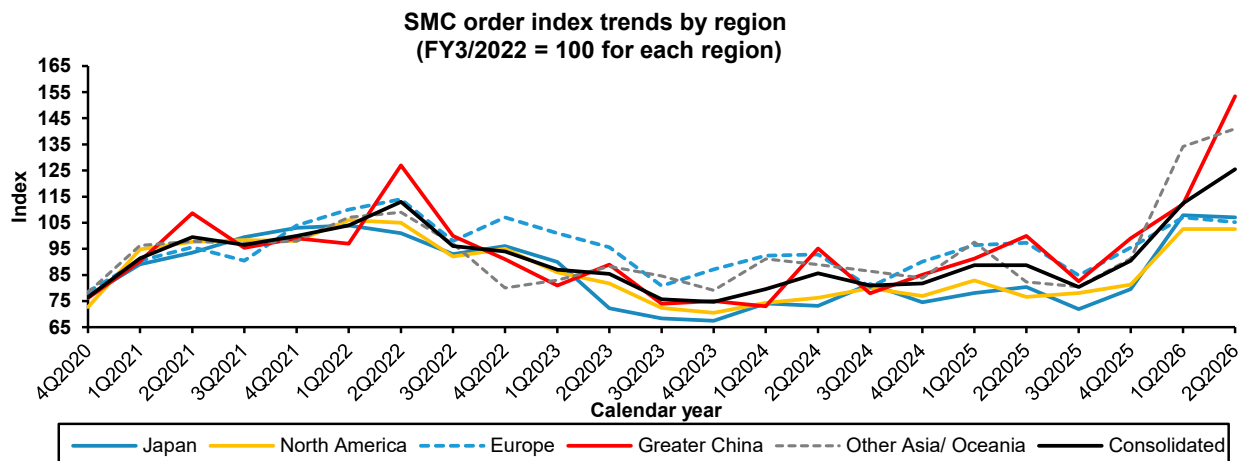
Source: SMC, Bernstein analysis

EXHIBIT 14: **Consolidated orders trend by region (monthly trend)**

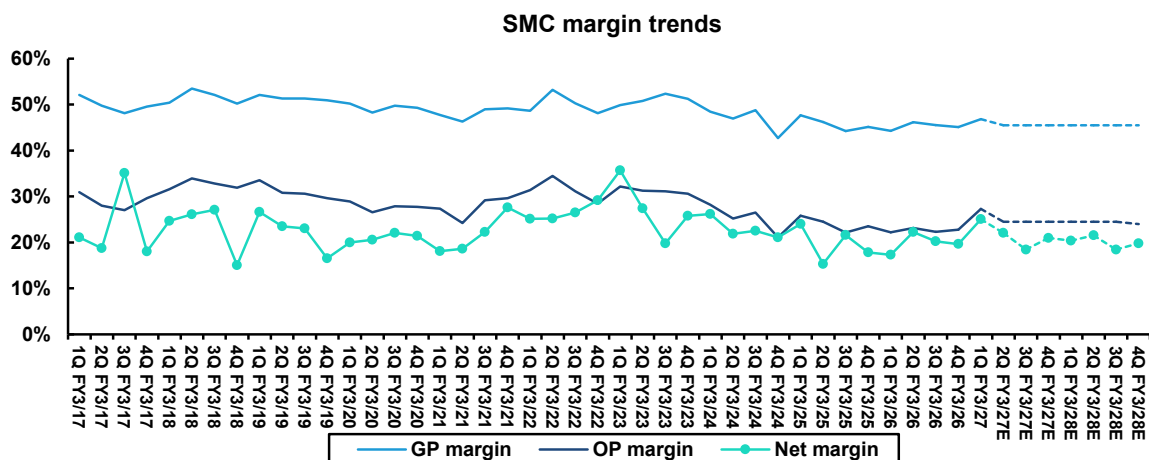
Consolidated Orders Trend by Region



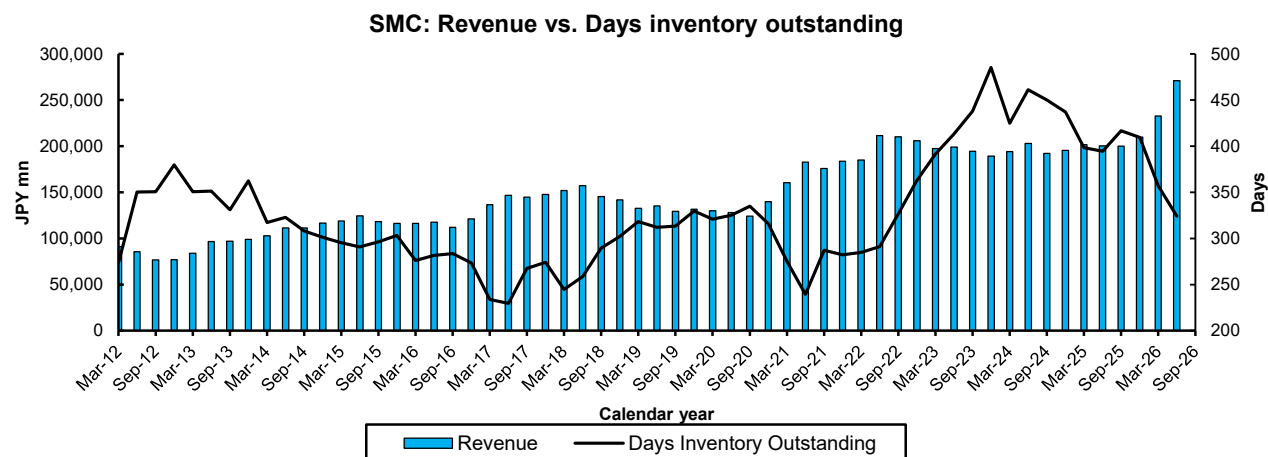
Source: SMC

EXHIBIT 15: **SMC: order index trend by region**

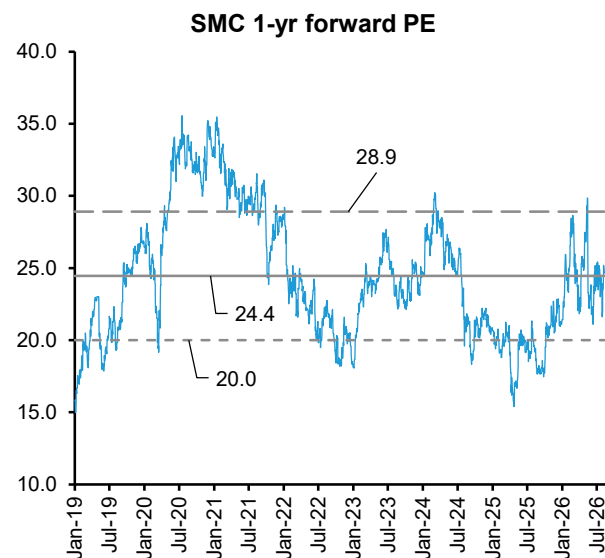
Source: SMC, Bernstein analysis

EXHIBIT 16: **SMC margin trends**

Source: SMC, Bernstein estimates and analysis

EXHIBIT 17: **SMC: Inventory turnover**

Source: SMC, Bernstein estimates and analysis

EXHIBIT 18: **SMC: 1-yr forward PE**

Source: Bloomberg, Bernstein analysis

EXHIBIT 19: **SMC financial summary**

<i>Fiscal Year Ending March 31</i>	<i>Mar/2021</i>	<i>Mar/2022</i>	<i>Mar/2023</i>	<i>Mar/2024</i>	<i>Mar/2025</i>	<i>Mar/2026</i>	<i>Mar/2027</i>	<i>Mar/2028</i>	<i>Mar/2029</i>	<i>Mar/2030</i>	<i>Mar/2031</i>
JPY Million	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E	2031E
Revenue	552,178	727,397	824,772	776,873	792,108	842,541	1,066,960	1,145,723	1,104,019	1,129,811	1,242,792
Gross profit	265,852	363,851	421,159	363,077	363,038	381,452	489,095	521,304	492,847	509,703	571,684
Operating profit	153,355	227,857	258,200	196,226	190,244	190,558	268,999	279,283	247,518	256,784	304,484
Profit before income taxes	172,482	272,851	308,777	252,653	211,068	236,989	314,639	319,093	287,583	296,714	348,844
Profit attributable to owners of parent	121,790	192,991	224,609	178,321	156,344	167,302	231,015	229,822	209,155	214,698	253,086
EPS (Basic/Diluted) (JPY)	1,832	2,924	3,444	2,767	2,444	2,641	3,671	3,656	3,327	3,415	4,026
BVPS (Basic/Diluted) (JPY)	20,343	22,050	24,020	25,694	26,961	28,502	31,093	33,723	35,950	38,215	40,991
P/B (x)	3.6	3.4	3.1	2.9	2.8	2.6	2.4	2.2	2.1	1.9	1.8
P/E (x)	40.5	25.4	21.5	26.8	30.3	28.1	20.2	20.3	22.3	21.7	18.4
EV/IC (x)	4.9	4.2	3.4	2.7	3.0	2.6	2.1	2.2	2.2	2.1	2.0
EV/EBITDA (x)	22.3	15.4	13.5	16.7	17.1	16.3	11.6	11.0	12.5	12.5	10.9
ROIC	14.2%	19.1%	18.5%	10.9%	10.4%	9.8%	12.1%	11.4%	10.3%	10.4%	11.8%
ROE	9.2%	13.7%	14.9%	11.1%	9.3%	9.5%	12.3%	11.3%	9.5%	9.2%	10.2%
Gross Margin	48.1%	50.0%	51.1%	46.7%	45.8%	45.3%	45.8%	45.5%	44.6%	45.1%	46.0%
Operating profit Margin	27.8%	31.3%	31.3%	25.3%	24.0%	22.6%	25.2%	24.4%	22.4%	22.7%	24.5%
Attributable net Margin	22.1%	26.5%	27.2%	23.0%	19.7%	19.9%	21.7%	20.1%	18.9%	19.0%	20.4%
Revenue Growth	5.0%	31.7%	13.4%	-5.8%	2.0%	6.4%	26.6%	7.4%	-3.6%	2.3%	10.0%
Operating profit Growth	4.9%	48.6%	13.3%	-24.0%	-3.0%	0.2%	41.2%	3.8%	-11.4%	3.7%	18.6%
Net Income Growth	10.2%	58.5%	16.4%	-20.6%	-12.3%	7.0%	38.1%	-0.5%	-9.0%	2.7%	17.9%

Source: Company filings, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 20: Income Statement

Income Statement											
Fiscal Year Ending March 31											
JPY Million	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E	2031E
Net sales	562,178	727,397	824,772	776,873	792,108	842,541	1,066,960	1,145,723	1,104,019	1,129,811	1,242,792
Cost of sales	286,326	363,545	403,613	413,796	429,069	461,089	577,865	624,419	611,172	620,108	671,107
Gross profit	265,852	363,851	421,159	363,077	363,038	381,452	489,095	521,304	492,847	509,703	571,684
Selling, general and administrative expenses	112,496	135,993	162,958	166,851	172,793	190,893	220,094	242,021	245,329	252,919	267,200
Operating profit	153,355	227,857	258,200	196,226	190,244	190,558	268,999	279,283	247,518	256,784	304,484
Non-operating income	19,709	45,626	48,016	54,963	24,388	45,886	42,756	37,570	37,337	37,591	41,633
Non-operating expense	1,236	502	236	180	4,711	853	731	920	810	878	946
Ordinary profit	171,827	272,981	305,980	251,008	209,921	235,591	311,025	315,933	284,045	293,496	345,171
Extraordinary income	1,667	581	3,663	1,968	1,816	4,439	5,669	6,068	5,911	5,974	6,588
Extraordinary loss	1,012	711	867	324	669	3,041	2,055	2,908	2,373	2,756	2,915
Profit before income taxes	172,482	272,851	308,777	252,653	211,068	236,989	314,639	319,093	287,583	296,714	348,844
Income taxes	50,655	79,527	83,871	74,300	54,608	69,677	83,584	89,242	78,397	81,985	95,722
Profit	121,826	193,323	224,905	178,353	156,459	167,311	231,055	229,851	209,186	214,729	253,122
Profit attributable to owners of parent	121,790	192,991	224,609	178,321	156,344	167,302	231,015	229,822	209,155	214,698	253,086
Basic EPS (JPY)	1,832	2,924	3,444	2,767	2,444	2,641	3,671	3,656	3,327	3,415	4,026
Diluted EPS (JPY)	1,832	2,924	3,444	2,767	2,444	2,641	3,671	3,656	3,327	3,415	4,026

Source: SMC, Bernstein estimates and analysis

EXHIBIT 21: Balance Sheet

Balance Sheet											
Fiscal Year Ending March 31											
JPY Million	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E	2031E
Cash and deposits	629,291	684,834	603,570	511,257	655,779	663,870	512,485	726,606	867,876	934,144	1,020,893
Notes and accounts receivable - trade	174,934	211,939	228,848	217,671	207,969	235,325	287,097	283,942	287,719	307,501	338,252
Inventory	248,751	303,544	418,601	519,557	489,660	506,697	600,014	610,416	622,034	650,877	709,396
Other current assets	43,975	58,087	72,827	59,503	68,430	98,397	121,800	121,193	118,057	123,663	131,215
PP&E	198,540	270,584	326,995	413,558	478,717	618,009	648,558	661,337	657,097	658,604	662,111
Intangible assets	11,389	15,183	16,591	17,332	16,110	16,142	25,086	25,138	25,186	25,236	25,296
Other non-current assets	232,987	225,776	260,505	355,677	184,097	173,392	331,520	265,166	256,639	297,214	311,196
Total assets	1,539,871	1,769,951	1,927,940	2,094,559	2,100,767	2,311,835	2,526,559	2,693,798	2,834,608	2,997,239	3,198,359
Notes and accounts payable-trade	44,091	62,101	73,636	58,818	46,898	31,822	41,983	41,522	40,616	43,074	46,947
Short-term borrowings	1,465	6,987	7,137	7,342	5,041	5,092	5,361	5,810	6,193	6,584	7,062
Income taxes payable	30,029	44,783	42,435	29,316	18,223	35,645	38,174	43,859	50,710	57,348	65,199
Other current liabilities	42,457	55,529	65,637	69,122	65,475	73,109	92,334	90,062	87,619	93,611	101,619
Long-term borrowings	9,323	4,556	5,049	5,728	-	-	-	-	-	-	-
Total retirement benefit liability	6,960	7,822	8,035	8,754	8,577	9,205	11,230	11,230	10,669	11,522	12,674
Other non-current liabilities	25,554	28,894	23,680	29,605	28,243	41,717	50,895	50,895	48,350	52,218	57,440
Total liabilities	159,883	210,677	225,615	208,688	172,461	196,595	239,977	243,377	244,156	264,358	290,942
Share capital	61,005	61,005	61,005	61,005	61,005	61,005	61,005	61,005	61,005	61,005	61,005
Capital surplus	73,335	73,335	73,342	73,342	74,473	73,779	73,779	73,779	73,779	73,779	73,779
Retained earnings	1,277,198	1,430,285	1,596,086	1,716,354	1,808,633	1,709,936	1,877,941	2,041,750	2,181,750	2,324,149	2,498,649
Treasury shares	(59,139)	(109,136)	(164,167)	(194,795)	(219,814)	(38,513)	(56,405)	(56,405)	(56,405)	(56,405)	(56,405)
Total shareholders' equity	1,352,399	1,455,489	1,566,266	1,655,906	1,724,298	1,806,207	1,956,320	2,120,129	2,260,129	2,402,528	2,577,028
Total accumulated other comprehensive income	24,304	100,139	132,146	225,680	203,983	308,883	329,972	329,972	329,972	329,972	329,972
Non-controlling interests	3,283	3,645	3,912	4,284	25	149	287	316	347	378	414
Total equity	1,379,986	1,559,273	1,702,324	1,885,870	1,928,306	2,115,239	2,286,579	2,450,418	2,590,448	2,732,878	2,907,414
BVPS (JPY)	20,343	22,050	24,020	25,694	26,961	28,502	31,093	33,723	35,950	38,215	40,991

Source: SMC, Bernstein estimates and analysis

EXHIBIT 22: Cash Flow Statement

Cash Flow Statement											
Fiscal Year Ending March 31											
JPY Million	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E	2031E
Profit before income taxes	172,482	272,851	308,777	252,653	211,068	236,989	314,639	319,093	287,583	296,714	348,844
Income taxes (paid) refund	(37,790)	(61,969)	(91,581)	(89,671)	(66,725)	(50,271)	(83,584)	(89,242)	(78,397)	(81,985)	(95,722)
Depreciation & impairment	18,585	20,779	25,802	33,355	34,308	44,846	60,603	70,406	59,491	49,385	46,255
Change in working capital	(25,478)	(48,796)	(116,096)	(75,188)	20,368	(29,394)	(134,243)	(3,689)	(9,319)	(38,288)	(75,938)
Other operating cash flow	(7,326)	(26,772)	(25,285)	(22,942)	(2,363)	(13,253)	9,178	-	(2,545)	3,868	5,222
Net cash provided by (used in) operating activities	120,473	156,093	101,617	98,207	196,656	188,917	166,593	296,568	256,814	229,694	228,661
Purchase of property, plant and equipment	(28,281)	(77,588)	(72,180)	(102,347)	(106,739)	(152,701)	(90,450)	(83,134)	(55,201)	(50,841)	(49,712)
Net payments into time deposit/securities/insurance funds	95,315	(35,013)	(14,974)	(30,324)	138,451	42,922	(6,717)	-	-	-	-
Other investing cash flow	6,406	(3,614)	68	771	3,522	2,268	(158,223)	66,252	8,429	(40,676)	(14,093)
Net cash provided by (used in) investing activities	73,440	(116,215)	(87,086)	(131,900)	35,234	(107,511)	(255,389)	(16,883)	(46,772)	(91,517)	(63,804)
Purchase of treasury shares	(28,706)	(50,020)	(55,030)	(30,628)	(25,018)	(30,018)	(17,892)	-	-	-	-
Dividends paid	(26,607)	(39,631)	(58,776)	(58,063)	(64,048)	(63,535)	(63,006)	(66,012)	(69,156)	(72,299)	(78,586)
Net proceeds from borrowings	(731)	734	647	868	(8,029)	51	269	449	384	390	478
Other financing cash flow	35	(16)	(140)	(105)	(3,107)	(617)	-	-	-	-	-
Net cash provided by (used in) financing activities	(56,009)	(88,933)	(113,299)	(87,928)	(100,202)	(94,119)	(80,629)	(65,563)	(68,772)	(71,909)	(78,108)
Net increase (decrease) in cash and cash equivalents	162,411	(2,243)	(67,972)	(85,737)	126,062	31,839	(157,794)	214,122	141,270	66,268	86,749
Cash and cash equivalents at beginning of period	399,128	561,540	559,296	491,324	405,586	531,649	573,769	415,975	630,096	771,367	837,634
Cash and cash equivalents at end of period	561,540	559,296	491,324	405,586	531,649	573,769	415,975	630,096	771,367	837,634	924,383

Source: SMC, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	7 Aug 2026	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
6273.JP (SMC)	O	JPY	74,190	89,000	6.7%	JPY	2,640.86	3,671.13	3,655.58	28.1	20.2	20.3
OLD				78,000				2,975.39	3,256.00			
JPL			2,643.59									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We use EV/EBITDA multiple as the primary valuation method. We set a JPY89,000 target price using an EV/EBITDA multiple of 14.0x against our 1-year forward-looking EBITDA estimates (from the PT date) of JPY 339,086 million. We set the target multiple referencing previous cycle peaks but adjust for specific situations of the current cycle, apply it on the upcoming cycle peak to get the enterprise value, and discount it back to derive our price target. We use DCF as reference for the company's long-term intrinsic value. As we move along the different stages of a cycle, the time-dependent target price may deviate from the DCF-implied value.

RISKS**SMC Corporation**

The risks to our view on SMC and target price are mainly associated with the global macro and capex cycle, competition, and currency. SMC has >35% of global share in pneumatic products, potential change in competitive intensity is a relevant risk. SMC's revenue and cost are both globally based. Our analysis shows that every 1% move in JPY exchange rate results in 0.6% change in SMC's revenue and 1% change in operating profit. Therefore, the downside risks include: 1) weaker than expected global automation demand, 2) losing market share to competitors, and 3) appreciation of JPY.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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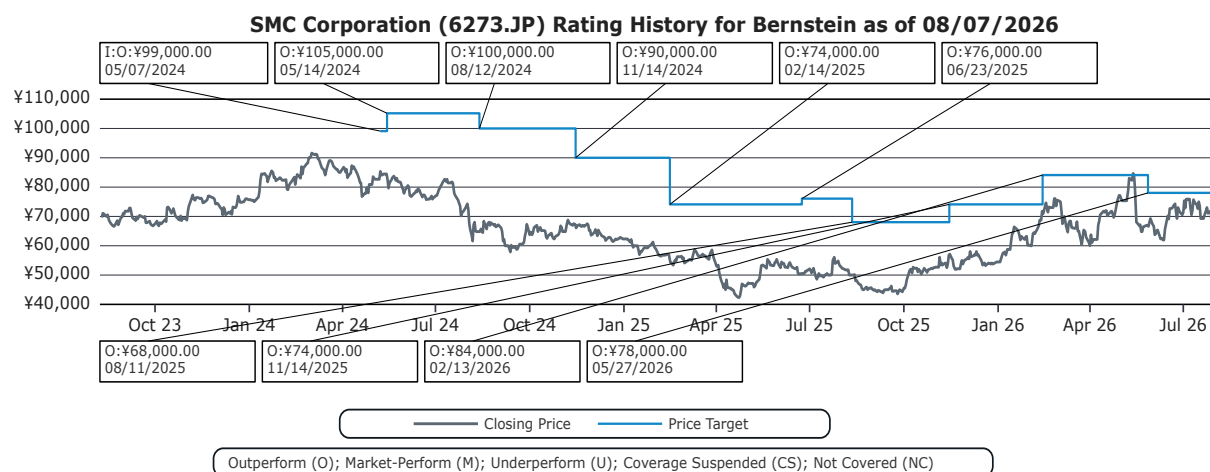
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Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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